



CREDIT APPRAISAL

New Silver Income Fund

Residential Bridge Lending & Private Credit at
Institutional Scale

Executive Summary

The New Silver Income Fund provides accredited investors access to a diversified portfolio of short-term residential transition loans originated by New Silver Lending LLC through its proprietary AI-driven platform. Capital is aggregated into NS Pool LLC, a bankruptcy-remote SPV, alongside a \$50M senior credit facility from Sky (formerly MakerDAO). The Fund targets a 12% preferred return to junior investors via leveraged carry on the spread between loan coupons and the senior facility cost. Since inception, the Fund has maintained zero investor losses and delivered a 3-year average return of 14.86%.

Key Structural Feature

The Fund’s zero investor losses track record is maintained through New Silver Lending’s par buyout policy: any loan reaching 60+ days past due is purchased by the operating entity at par. This transfers credit risk from the pool to the operating entity’s balance sheet.

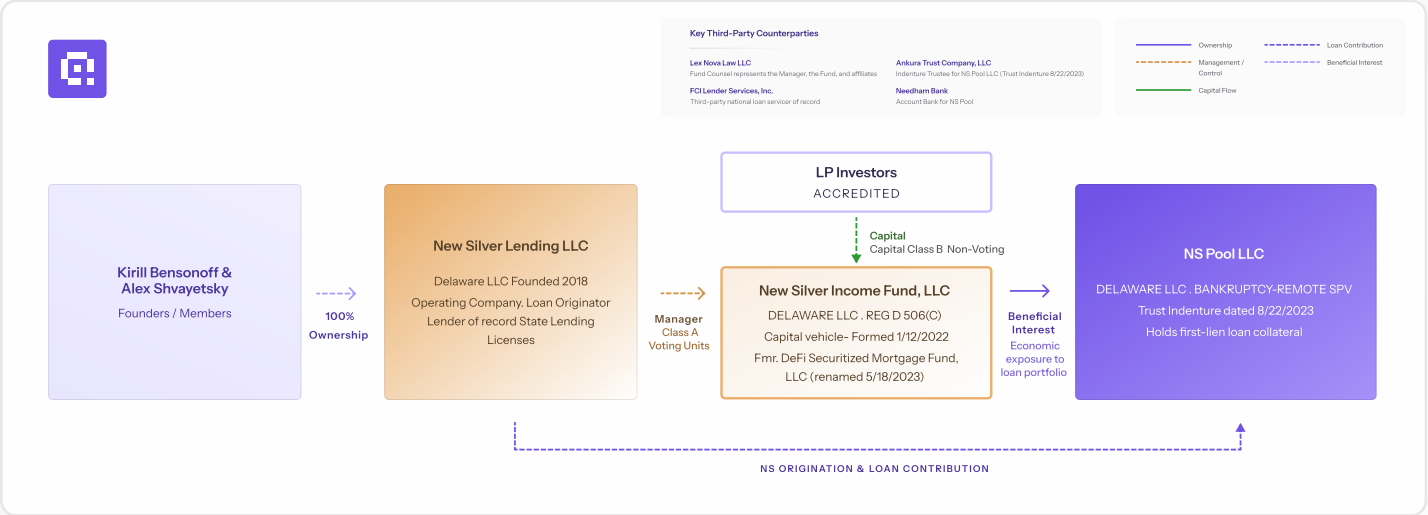
Metrics	Value	Context
Platform		
Total Originated	\$501M	Since 2018 inception
Lifetime Loss Rate	5 bps	vs. 50-150 bps industry range
Total Loans	1,200+	Across 41 states and Washington, D.C.
Fund		
Active Loans	88	72 borrowers
Portfolio Yield	8.82%	Current weighted average
Junior Tranche	26.07%	Above 20% contractual minimum
Avg Borrower FICO	733	75% above 700

Company Overview

New Silver Lending LLC is a technology-first private lender focused on short-duration residential investment property loans in the United States. Founded in December 2018 by Kirill Bensonoff and Alex Shvayetsky, the Company is headquartered in West Hartford, Connecticut and operates in 41 states and Washington, D.C.

The Company targets small-to-mid-size real estate investors who purchase, renovate, and sell or refinance residential properties. All loans are business-purpose, originated through direct-to-borrower and broker channels. New Silver’s proprietary AI-driven platform (“HQ”) pulls credit data, property-level analytics, and area-level market indicators in real time, enabling conditional approvals in under five minutes and closings in seven to ten days. All loans undergo manual underwriting review before final approval.

Corporate Structure



Product	Use Case	Term	Max LTV/LTC	Risk
Fix & Flip	Purchase, renovate & sell	12-18 mo	75% ARV/90% LTC	Medium
Rent / DSCR	Buy-and-hold rentals	30 yr	75% LTV	Lower
Ground-Up	New 1-4 unit construction	12-24 mo	75% ARV/90% LTC	Highest

Market Context

The U.S. housing supply deficit is estimated at 4.03M homes in 2025, with single-family starts at 940K units (lowest since 2019). Building material costs have risen 40% since Dec 2020, with tariffs including 10% on softwood timber and 50% on kitchen cabinets, steel, copper, and aluminum. The Burns + Kiavi Market Index rose to 62 in Q4 2025, and 71% of surveyed flippers expect to increase purchases in 2026.

Fund Structure & Economics

Capital Stack

Capital Layer	Current \$	Current %	Contractual	Provider	Cost
Senior Facility	\$36.5M	73.93%	Max 80%	Sky	7.00%
Junior Tranche	\$12.7M	26.07%	Min 20%	Income Fund LPs	12% pref

Return Trend

Period	Net Return
Year 1 (2022-2023)	17%
Year 2 (2023-2024)	15.51%
Current (2025-2026)	12%

Returns reflect compression in the underlying spread as portfolio yields have moved closer to the senior facility cost. The current portfolio yield of 8.82% against the 7.00% senior cost produces a net spread of 1.82% on total pool capital, which through leverage translates to a 12% return at the junior tranche level, currently at the preferred return threshold.

Fee Structure

Fee Component	Rate	Notes
Management Fee	0.75%-1.75%	Tiered by investment size
Preferred Return	12%	Hurdle before profit split
Profit Split	90 / 10	LP / GP above preferred return

The Fund is open-ended with quarterly redemptions, subject to a 60-day notice period, a 90-day payout window, and a 5% quarterly gate.

Financial Performance

New Silver Income Fund - Capital Formation

(\$ in thousands)

Metric	FY2023	FY2024	FY2025
Total Revenue	\$50	\$482	\$1,060
Net Income	\$44	\$437	\$1,020
Capital Contributions	\$815	\$5,690	\$11,530
Total Equity	\$815	\$5,690	\$10,290

The Income Fund has demonstrated exceptional capital formation, with total equity growing from approximately \$0.8M in FY2023 to \$10.3M in FY2025. Capital contributions of \$11.53M in FY2025 alone reflect strong investor demand and confidence in the platform.

Sources of Risk

Credit & Portfolio Quality: Lifetime losses of 5 bps on \$501M are exemplary. The zero-loss investor record depends on OpCo’s par buyout policy; effectiveness hinges on OpCo’s ongoing financial capacity to absorb defaulted loans.

Leverage Sensitivity: At 5x leverage, each 1% of portfolio default translates to a 5% impact on junior tranche capital. Stress testing indicates the 12% preferred return is breached at approximately a 2% default rate with 50% loss severity.

Concentration: FL and TX account for 39.2% of UPB; top 20 borrowers represent 42.3% of UPB. All metrics are within documented limits.

Market & Construction Costs: 40% rise in building costs since Dec 2020 plus tariff pressures could compress fix-and-flip margins and affect borrower repayment. The structural housing deficit provides a partial offset.

Spread Compression: Returns have trended from 17% to 12%. The current 1.82% pool-level spread leaves limited cushion before falling below the preferred return target.

Qiro Risk Assessment

The identified risks are characteristic of leveraged private credit strategies and are partially offset by the Fund's structural protections: first-lien collateral with 30% average borrower equity, independent trustee verification, short asset duration (12-18 months), and the par buyout mechanism. The operating entity's buyout capacity, portfolio concentration trends, and spread dynamics remain the key variables that could affect Fund performance.

Structural Protections & Risk Management

Par Buyout Mechanism

Any loan reaching 60+ days past due is purchased by the operating entity at par value, transferring credit risk from the pool to the operating entity’s balance sheet. This mechanism has maintained zero investor losses to date.

Independent Trustee Verification

Ankura Trust Company serves as independent trustee for NS Pool LLC, providing third-party governance on portfolio composition and verifying concentration limits independently of the manager’s discretion.

First-Lien Collateral & Short Duration

All loans are secured by first-lien positions with approximately 30% average borrower equity. The short-duration profile (12-18 months) provides faster liquidity resets than many private credit instruments.

Concentration Limits

All concentration metrics sit comfortably within contractual limits with meaningful headroom across every dimension. The widest buffers appear in borrower exposure (6.95% vs. 25% limit) and weighted-average loan-to-cost (71.47% vs. 87.50%). State-level concentration warrants the closest ongoing monitoring.

Assessment Summary

- The New Silver Income Fund exhibits a robust capital position with a distinguished track record of risk-adjusted returns:
- Credit Performance:** 5 bps lifetime losses on \$501M markedly superior to the 50-150 bps industry range.
 - Technology:** AI-driven 5-minute approvals and 7-day closings provide a meaningful speed advantage.
 - Revenue Quality:** Recurring income share grew from 23% to 35%, improving earnings predictability.
 - DeFi Funding:** Sky's \$50M senior facility is unmatched among peers, diversifying funding sources.
 - Structural Protections:** Ankura-verified limits, 30% average borrower equity, 14.86% three-year average return.
 - Capital Formation:** Total equity grew from \$0.82M (FY2023) to \$10.29M (FY2025) while consistently meeting the 12% preferred distribution target, underpinned by a bankruptcy-remote SPV ensuring clean asset separation.
- With a bankruptcy-remote SPV structure, independent trustee oversight, and innovative DeFi funding infrastructure, the Fund is well positioned for continued growth as the tokenized private credit landscape expands.